Chapter 4700 Federal Entity Reporting Requirements For The Financial Report Of The United States Government

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Introduction

This Treasury Financial Manual (TFM) chapter prescribes how federal entities provide data for the *Financial Report of the United States Government* (Financial Report) using the Governmentwide Treasury Account Symbol Adjusted Trial Balance System (GTAS) along with additional details from the audited entity's financial statements. This chapter also includes a listing of the federal entities included in the Financial Report, a description of the Intra-governmental Transactions (IGT) process, and requirements for submitting pre-closing GTAS Adjusted Trial-Balance (ATB). Please refer to Office of Management and Budget (OMB) Circular No. A-136 for the reporting requirements for federal entities' audited financial statements.

This TFM chapter does not include all reporting requirements for GTAS. Additional information can be found on the **GTAS** website.

Section 4710—Scope and Applicability

All federal entities must provide The Bureau of the Fiscal Service (Fiscal Service) with the required fiscal year-end data that is used to prepare the Financial Report. All federal entities (significant or other) must submit GTAS ATB data and manual adjustments that crosswalk to the federal entity's audited financial statements, since the GTAS Balance Sheet and the reclassified financial statements provide the connection to the data in the Financial Report. The term reclassified financial statements is only used for the financial statements that have not been standardized (Statement of Net Cost (SNC) and Statement of Operations and Changes in Net Position (SOCNP)) between the entity's financial statement lines and the government-wide financial statement lines. The Balance Sheet has been standardized between the entity and government-wide level. With this standardization, there is no longer a need to crosswalk between the federal entities' financial statement Balance Sheet lines and the government-wide

Balance Sheet lines because there is a one-to-one relationship. GTAS will crosswalk the GTAS ATB data to the financial statement line items based on the United States Standard General Ledger (USSGL) crosswalks. The statements are system-generated using GTAS ATB data and manual adjustments. Please refer to Note 36 of **OMB Circular No. A-136** and section 4735.20 for information on the when a Reclassified Balance Sheet would be needed as well as the details on the reconciling between the federal entity's audited financial statements and the reclassified financial statements.

The Chief Financial Officer (CFO) or CFO's designee of each significant entity must review the approval of manual adjustments in GTAS, journal vouchers processed at the government-wide level on the federal entities' audited data, and intra-governmental certifications. Additionally, each significant entity must designate a Point of Contact (POC) to assist with financial reporting. Fiscal Service will send a data call to the 40 significant entities, and select other entities, requesting that the CFO of each federal entity designate the certifying officials and POCs for various required year-end functions. The CFO certifications and Financial Reporting Contacts POC forms list each designee from the data call and must be signed by the federal entity's CFO.

Federal entities must submit pre-closing GTAS ATB via the GTAS application. Federal entities must submit a GTAS ATB for each Treasury Account Symbol (TAS) level using proprietary and budgetary USSGL accounts. See the **USSGL** website for current fiscal year (FY) reporting.

Fiscal Service compiles the information from the GTAS submissions for all federal entities into the government-wide financial statements. The Balance Sheet is a financial statement with an agreed upon set of standardized financial statement lines between the entity and government-wide financial statements.

For most federal entities' net cost amounts reported in the Financial Report will differ from the net cost presented in entities' financial statements primarily because of the eliminations of intra-governmental activity and the subsequent reallocation of certain costs to individual entities at the government-wide level. To find the gross cost as reported on the government-wide Statement of Net Cost entities should add non-federal gross cost; interest on debt held by the public; PP&E; Reciprocal Category (RC) 26 - Benefit Program Costs/Revenues; RC 24 - Buy/Sell Costs/Revenues and Purchase of Assets/ Offset; RC 29 - Other Expenses (Without Reciprocals); and RC 25 - Imputed Costs. To find earned revenue as reported on the government-wide Statement of Net Cost add non-federal earned revenue, RC 13 - Custodial Collections transferred to a TAS other than the General Fund/ Collections transferred to a TAS other than the General Fund; and RC 14 - Accrual of Custodial Collections yet to be transferred to a TAS other than the General Fund/ Accrual for agency amounts to be collected in a TAS other than the General Fund. Earned revenue is then subtracted from gross cost to reach the

subtotal amount. Gains/Losses from changes in actuarial assumptions is added to the subtotal to reach the net cost as reported on the government-wide Statement of Net Cost.

There are two main categories where most entity costs will differ from what is used in calculations for the Statement of Net Cost, RC 25 Imputed Costs and RC 29 Other Expenses (Without Reciprocals). for RC 25 Imputed Costs are allocated on the government-wide Statement of Net Cost by increasing the reporting entity's cost and reducing the cost of the trading partner. Due to this the amounts reported by the trading partners may not align with what is reported on the individual entity statements. for RC 29 each year Fiscal Service creates a journal voucher to reclassify the employer's share of estimated payroll taxes reported in RC29 and eliminates these amounts from entity costs.

Significant entities with a year-end other than September 30 are subject to alternate audit procedures and the Department of the Treasury reporting as outlined in subsection 4735.30 below.

Please refer to subsection 4735.20d of this chapter and OMB Circular No. A-136 for supplemental information on sustainability financial statements.

Reporting requirements in this chapter are grouped as follows:

- Section 4735 includes Financial Report data requirements,
- Section 4750 includes intra-governmental requirements, and
- Section 4755 includes GTAS requirements.

Section 4715—Authority

Section 405 of the Government Management Reform Act of 1994 [31 U.S.C. 331(e)(1)] requires that the Secretary of the Treasury annually prepare and submit to the President and the Congress an audited financial statement for the preceding FY. This statement must cover all accounts and associated activities of the executive branch of the federal government. Section 114(a) of the Budget and Accounting Procedures Act of 1950 [31 U.S.C. 3513(a)] requires each executive branch agency to furnish financial and operational information as the Secretary of the Treasury may stipulate.

The Department of the Treasury and OMB consolidate the legislative and judicial branches in the consolidated financial statements as well. To ensure that all material amounts across the three branches of government are accounted for, Fiscal Service uses the data submitted in GTAS plus records supported journal vouchers based on audited financial statements, as well as the authoritative data from the Central Accounting Reporting System (CARS).

Section 4720—Terms and Definitions

For terms and definitions related to this chapter, please view the **TFX Glossary**.

Section 4725—Reporting Entity

Reporting Entity Purpose

To provide the Federal Accounting Standards Advisory Board's (FASAB) Statements of Federal Financial Accounting Standards (SFFAS) No. 47, *Reporting Entity* determinations received by the federal entities, reviewed by the Working Group, and approved by the SFFAS No. 47 Steering Committee. The determinations are listed in Appendix 1b (Consolidation Entities, Disclosure Entities, and Related Parties).

Reporting Entity Background

A questionnaire was designed for implementation by compiling the key deciding factors throughout FASAB Standard No. 47 with the corresponding paragraphs in SFFAS No. 47 with each question. The questionnaire asked for the component reporting entity to be identified. Upon completion of the survey, the entity was led to a reporting determination of consolidation entity, disclosure entity, related party, or not required to report. Consistent with Appendices B & C of SFFAS No. 47, the survey requires component entities to document the rationale for their determinations as to other entities for each entity considered. It also requires entities to specify whether any other entities are component thereof (i.e., consolidation or disclosure), a related party or do not meet the criteria of SFFAS No. 47. Federal entities are required to confirm Reporting Entity determinations in Appendix 1b via an annual data call response. Entities should notify Fiscal Service if a survey is needed to document changes in rationale or for a new Reporting Entity determination.

The survey supported the following determinations*:

- **Component Reporting Entity**—is used broadly to refer to a reporting entity within a larger reporting entity. Examples of component reporting entities include organizations such as executive departments, independent entities, government corporations, legislative entities, and federal courts. Component reporting entities would also include sub-components (those components included in the financial statements of a larger component reporting entity) that may themselves prepare financial statements. An example would be a bureau that is within a larger department that prepares its own stand-alone financial statements.
- **Consolidation Entity**—is an organization that should be consolidated in the financial statements based on the assessment of whether it: "(a) is financed through taxes and other non-exchange revenues, (b) is governed by the Congress and/or the President, (c) imposes or may impose risks and rewards to the federal government, and (d) provides

goods and services on a non-market basis." It also includes organizations that, if excluded, would result in misleading or incomplete financial statements.

- **Disclosure Entity**—is an organization with a greater degree of autonomy within the federal government than a consolidation entity. Some organizations may exercise powers that are reserved to the federal government as sovereign. Other organizations may not themselves carry out missions of the federal government but, instead, are owned or controlled by the federal government as a result of "(a) regulatory actions (such as organizations in receivership or conservatorship) or (b) other federal government intervention actions." Under such regulatory or other intervention actions, the relationship with the federal government is not expected to be permanent and such entities generally would be classified as disclosure entities, when considering the characteristics taken as a whole.
- **Related Party**—Organizations are considered to be related parties in the financial statements if one party has the ability to exercise significant influence over the other party's policy decisions. Only relationships of such significance that it would be misleading to exclude information about such relationships warrant disclosure.

*See SFFAS No. 47, Reporting Entity for more detail.

The top-down approach was used to identify potential entities that meet the criteria of SFFAS No. 47 from a government-wide perspective. To ensure completeness, the component should perform a bottom-up assessment to identify entities that may not have been identified through the top-down approach. Each component entity should perform an entity review annually to validate proper reporting at the entity level. For assistance in an entity level review, please contact Fiscal Service at **GTAS.Team@fiscal.treasury.gov** to receive the SFFAS No. 47 Entity Analysis Excel workbook. Entities should notify Fiscal Service immediately if an entity analysis results in a determination(s) that differs from those outlined in Appendix 1b and include the basis for determination.

Component entities must notify Fiscal Service of any discrepancies between the auditor and the component entity as to the component entity's reporting entity status determination. In addition, questions concerning which component entity a federal entity needs to be consolidated into must be discussed with Fiscal Service. Final reporting entity determinations must be agreed upon by the Department of the Treasury and OMB.

Reporting Entity Procedure/Requirements

Federal entities must report information based on the SFFAS No. 47 determination. The determinations are available in Appendix 1b and will be used to report Appendix A: Reporting Entity of the Financial Report of the United States Government.

An entity with the determination of consolidation will submit an ATB in GTAS. This data will flow to the face of the government-wide statements presented in the Financial Report.

SFFAS No. 34 recognizes that some federal reporting entities prepare and publish financial reports pursuant to the accounting and reporting standards issued by the Financial Accounting Standards Board (FASB). SFFAS No. 34 provides that certain entities' financial statements prepared in conformity with accounting standards issued by the FASB may be regarded as in conformity with U.S. Generally Accepted Accounting Principles (GAAP). Consolidation entities (that is, the consolidated government-wide reporting entity or a consolidated component reporting entity) may consolidate component or sub-component reporting entity financial statements prepared in accordance with SFFAS No. 34 without conversion for any differences in accounting policies among the organizations.

While reporting entities that prepare and publish financial reports pursuant to FASB standards are not required to convert reported amounts to account for any differences in accounting policies between FASB and FASAB, additional data/information may still be required to be reported to supplement government-wide disclosure and other reporting requirements. SFFAS No. 47, Footnote 27 allows that the Department of the Treasury and OMB will determine if there is a need for coordinated guidance to ensure government-wide consistency.

FASAB explains in the SFFAS No. 47 the basis for its conclusions that certain requirements for information (such as intra-governmental balances to facilitate eliminations at the government-wide level) are not required through accounting standards, but instead could be required by guidance from OMB and/or the Department of the Treasury (SFFAS No. 47, Par. A84).

Entities with a determination of disclosure or related party (see Appendix 1b) will continue to report TAS, if applicable, but when utilizing the disclosure or related party, TAS transactions must be processed as non-federal (N). This information is reported by the consolidation entities and not a direct report by the disclosure or related party. Therefore, if the entity has a relationship with a disclosure entity included in the government-wide financial statements or related party, make sure to report the federal or non-federal designation as non-federal.

Note: Several entities have expressed an interest in preparing subcomponent financial statements. These entities may be found in Appendix 1c. For complete details of SFFAS No. 47, please see: **https://files.fasab.gov/pdffiles/handbook_sffas_47.pdf**.

Section 4730—Financial Report Reporting and Submission Dates

See the FY 2025 TFM Year-end Closing Bulletin for all the Financial Report reporting and submission dates regarding, but not limited to, GTAS, intra-governmental transactions/balances, legal counsel responses, Management Representation Letters (MRLs), and subsequent events.

Federal entity participation in the third quarter and/or year-end Financial Report reporting submission and collaboration initiatives will be measured on the entity's year-end Financial

Report and IGT Scorecards for the current FY. Entity performance measures include 1) timeliness; 2) timely/complete; 3) reconciliation of differences; 4) consistency and integrity; and 5) significant disclosures on key focus areas.

Federal entities should submit to Fiscal Service their POC information for internal representatives who are considered technical experts for financial reporting, restatements, legal counsel responses, MRL, Summary of Uncorrected Misstatements (SUM), and significant disclosures for key focus areas (key focus areas are listed in the FY 2025 TFM Year-end Closing Bulletin). These individuals will be the POC for close collaboration throughout interim analysis and year-end preparation of the Financial Report according to section 4710 above. Contact information must include name, phone number, email address, and area(s) of expertise and be submitted to Fiscal Service at **financial.reports@fiscal.treasury.gov**.

4730.10—Third Quarter Reporting (Unaudited Financial Statements and Notes)

The purpose of these submissions is to enable Fiscal Service to conduct preliminary analysis on federal entity data to facilitate preparation of the Financial Report.

4730.10a-Interim Financial Statements and Notes

Significant entities must submit unaudited interim financial statements and notes, as of June 30, in accordance with OMB Circular No. A-136 to notify Treasury of new disclosures or significant changes that have been made to their programs. Interim financial statements are limited to the Balance Sheet, SNC, and SCNP. **Please reference the FY 2025 TFM Year-end Closing Bulletin for guidance on transmission of applicable documents.**

4730.10b-Significant Disclosures of Key Focus Areas

Fiscal Service will also require significant entities' assistance with completing the analysis of 'key" focus areas that present a greater risk of failing to meet the prescribed disclosure requirements and that are relatively new to the Financial Report. "Key focus areas" are notes, Required Supplementary Information (RSI), or Other Information (OI) identified as being affected by new or updated FASAB/FASB standards and notes, RSI, and OI that include topics that are prevalent in the current socioeconomic climate.

For "key" focus areas, Fiscal Service will provide the Significant Disclosures questionnaire on the **GTAS website** (Resources section). Federal entity technical experts are required to provide feedback on the Significant Disclosures questionnaire on items of significance that occurred during the FY that should be considered by Fiscal Service for disclosure in the Financial Report during its analysis and compilation process. Questions are to be submitted to Fiscal Service. Fiscal Service will also include a link to the prior year published Financial Report and any applicable auditor comments with the questionnaire. **Please reference the FY 2025 TFM Year-end Closing Bulletin for guidance on transmission of applicable documents.**

See the FY 2025 TFM Year-end Closing Bulletin for the list of the current FY key focus areas, dates the questionnaire will be available on the **GTAS website**, and dates the completed questionnaires are to be returned to Fiscal Service. Federal entity participation in the third quarter collaboration initiative will be measured on the entity's year-end Financial Report and IGT Scorecards for the current FY.

4730.20—Year-End Reporting (Audited Financial Statements and Notes)

4730.20a-Year-End Financial Statements and Notes

All federal entities (significant and other) must submit audited financial statements and notes **in accordance with OMB Circular No. A-136**. Please reference Section 4735 for additional financial reporting requirements. **Please reference the FY 2025 TFM Year-end Closing Bulletin for guidance on the transmission of applicable documents and all the due dates.**

4730.20b-Significant Disclosures of Key Focus Areas

Significant entities should be aware the significant disclosure Key focus areas process is also a requirement at year-end. Fiscal Service will provide the year-end Significant Disclosures questionnaire on the **GTAS website**. Federal entity technical experts must provide feedback on the Significant Disclosures questionnaire for items of significance that should be considered by Fiscal Service for disclosure in the Financial Report during the analysis and compilation process, along with the location of the disclosure in the entities' financial statements. Responses are also required for the Immaterial Correction of Errors. See the FY 2025 TFM Year-end Closing Bulletin for the dates the questionnaire will be available on the GTAS website as well as the dates the completed questionnaires are to be returned to Fiscal Service. Participation in this collaboration process will also be measured on federal entities' year-end Financial Report and IGT Scorecards.

Section 4735—Financial Report Data Requirements

Significant entities must:

- Submit audited financial statements in an Agency Financial Report (AFR)/Performance and Accountability Report (PAR) in **MAX.gov**. Please refer to **OMB Circular No. A-136** for details.
- Submit a GTAS ATB. GTAS will crosswalk the ATB data to populate a Balance Sheet, Reclassified SNC, and Reclassified SOCNP by reporting entity using the USSGL Crosswalks. The reclassified financial statements have to be reconciled to the federal entities' audited financial statements and any differences disclosed in Note 36: Reclassification of Financial Statement Line Items for Financial Report Compilation Process - Significant Entities Only per **OMB Circular No. A-136**. For additional guidance reference the USSGL Crosswalks to Standard External Reports for the Balance Sheet,

and the USSGL Crosswalks to the Reclassified for the SNC and SOCNP on the **USSGL** website.

- Submit the interim unaudited financial statements (the third-quarter financial statements) and notes (reference subsection 4730.10).
- Comply with the intra-governmental requirements that can be found in Section 4750.
- Review (with their auditors) the year-end Financial Report and IGT Scorecards to determine if a prior-year journal voucher was processed. If so, then the significant entity should identify the reason for the journal voucher as well as how to prevent the adjustment in the current year.
- Comply with the collaboration process found in Section 4730 for Key Focus Areas.

Contact Fiscal Service to determine the reporting procedures for any adjustments to the GTAS data and AFR/PAR after their publication, which is normally November 15. For contact information, see the **GTAS Contacts** page.

4735.10—Federal Trading Partner Notes

Federal trading partners and amounts for each federal line item reported based on the reclassified financial statements will be derived from GTAS ATB data. Amounts identified as federal should be net of intra-departmental eliminations with the following exceptions:

- For U.S. Office of Personnel Management only, intra-departmental imputed costs reported with a trading partner code of unknown, and
- Regular expenditure transfers from Trust Fund accounts and Fiduciary Fund accounts to other general appropriated funds.

Identifying the trading partner enables analysis and elimination of federal activity/balances based on reciprocal categories at the government-wide level. See Appendices 1a and 1b for a complete list of Agency Identifiers (AIDs) and financial reporting entities.

All General Fund of the U.S. Government (General Fund) activity will be reported to the appropriate reclassified financial statement line within RC 30–RC 48 activities. The General Fund activity based on the USSGL and federal/non-federal attributes will be reported to the appropriate reclassified financial statement line within RC 30–RC 48 (see Appendices 2 and 3 for the appropriate reclassification of reclassified financial statement lines) using a federal/non-federal attribute domain value of “G.” See Appendix 11 for more details on transactions with the General Fund.

4735.20—Reclassification of Significant Entities’ Financial Statements

Significant entities must submit GTAS ATB data. GTAS will then populate three reclassified financial statements based on the USSGL crosswalks. The **USSGL** crosswalks for the Standardized Balance Sheet can be found in USSGL guidance (current FY-Section V- USSGL

Crosswalks to Standard External Reports) and the USSGL crosswalks for the Reclassified SNC, and the Reclassified SOCNP can be found in **USSGL** guidance (current FY–Section VI-Crosswalks to Reclassified Statements). Entities can access the entity GTAS reports titled "Balance Sheet, Reclassified SNC, and Reclassified SOCNP" which significant entities must use to complete Note 36: Reclassification of Financial Statement Line Items for Financial Report Compilation Process - Significant Entities Only per OMB Circular No. A-136. For Note 36 requirements, please refer to the **OMB Circular No. A-136**, Section IV.2.1–Significant Reporting Entities.

Note: If you are a significant entity and a FASB reporter, please refer to Section 4735.30 for additional information related to the Note 36 requirements.

Significant entities report the line items on their financial statements based on what is most material and useful to them. These line items may not match line items in the reclassified financial statements for several reasons. For example, the reclassified financial statement line items may not apply to the federal entity, the amounts could be immaterial at the entity level, or the entity may find it useful to include more detail than the reclassified financial statement lines. Federal entities must submit ATB data to GTAS for the reclassified financial statement lines, regardless of materiality.

4735.20a—Custodial Activity

Significant entities that report a Statement or Note on Custodial Activity in their audited consolidated financial statements should show an adjustment of the exchange revenue without associated costs and non-exchange revenue from the Statement or Note on the Custodial Activity to the SOCNP on Note 36: Reclassification of Financial Statement Line Items in **OMB Circular No. A-136**. From the Sources of Collections section of the Custodial Statement or Note (with the exception of customs duties, excise taxes, and taxes collected by the Department of the Treasury, the Department of Labor (DOL), and the Department of Homeland Security (DHS)), reclassify all non-exchange revenue lines to "Other taxes and receipts" and exchange lines to "Miscellaneous earned revenue." From the Disposition of Collections section, reclassify all federal lines to "Other Budgetary Financing Sources" and non-federal lines to "Other taxes and receipts."

Federal entities must report the custodial revenue as non-federal "N" at the time of collection from the public (that is, the Sources of Collection section). The disposition of the custodial revenue to other federal entities must be reported as federal "F" in the Reclassified SNC or SOCNP when reporting in GTAS. Any federal entity receiving custodial revenue from the collecting entity must report this revenue as federal "F" in its Reclassified SNC or SOCNP when reporting in GTAS. If the collecting entity retains a portion of the custodial revenue, the entity must report this revenue as non-federal, "N" at the time of collection from the public. If the

revenue is transferred between intra-departmental funds, those transactions should be reported as federal "F" in its Reclassified SNC or SOCNP when reporting in GTAS and must use its own trading partner AID. The federal entity must ensure the amounts reported with its own trading partner AID eliminate appropriately.

There may be situations in which custodial revenue collected in a TAS of one federal entity and, subsequently, transferred to another TAS (other than General Fund), is identified as inappropriate by the Department of the Treasury and OMB. Additionally, there may be situations in which there is not currently a TAS for the federal custodial entity to record the custodial collection and subsequent distribution. For both situations, Fiscal Service has worked with OMB to assign a series (F3600-F3699) of clearing accounts to coordinate the reporting of custodial activity between the two federal entities (neither of which are the General Fund). For additional information on the requirements for establishing one of these accounts, please email **GovernmentwideIGT@fiscal.treasury.gov**. Please see **TFM Volume I, Part 2, Chapter 1500** for additional details on establishing new custodial clearing accounts.

If federal entities have collections that do not meet Statement or Note on Custodial Activity reporting requirements, they should refer to the **General Fund Receipt Account Guide**.

Please see Appendix 10 of this chapter, Custodial and Non-entity Transactions, for the intra-governmental custodial activity guidance.

For additional guidance on custodial activity, as well as how to classify certain related transactions, see SFFAS No. 7.

4735.20b—Funds From Dedicated Collections

Funds from dedicated collections are financed by specifically identified revenues, often supplemented by other financing sources, which remain available over time. These specifically identified revenues and other financing sources are required by statute to be used for designated activities, benefits, or purposes and must be accounted for separately from the government's general revenues in accordance with SFFAS No. 27 as amended by SFFAS No. 43. SFFAS No. 43 modified the definition of these funds by clarifying that at least one source of fund, external to the federal government, must exist for a fund to qualify as a fund from dedicated collections. SFFAS No. 43 also added an explicit exclusion for any fund established to account for pensions, other retirement benefits, other post-employment, or other benefits provided for federal employees (civilian and military).

Entities with material amounts of funds from dedicated collections must use the templates outlined in OMB Circular No. A-136, which show funds from dedicated collections reported on the SOCNP on the consolidated basis and the note disclosure for funds from dedicated collection on both a combined and consolidated basis. Eliminations reflect intra-entity balances and transactions between the entity's dedicated collections funds. Significant entities required

to prepare financial statements in accordance with accounting standards other than those promulgated by FASAB will be contacted by Fiscal Service for dedicated collections information necessary for government-wide statements.

At the government-wide level, the U.S. government's Balance Sheet shows separately the portion of the net position attributable to funds from dedicated collections and labels those lines accordingly. The SOCNP shows funds from dedicated collections as consolidated and labels the lines accordingly, while the note disclosure for funds from dedicated collections discloses combined totals, intra-governmental eliminations within funds from dedicated collections, and consolidated totals. Please refer to **OMB Circular No. A-136** for more details.

In addition, the reclassification crosswalk will be needed to identify the difference of revenue presented on an entity's SCNP to the government-wide SOCNP. Please refer to the Reclassification of Financial Statement Line Items for Financial Report Compilation Process area of the **OMB Circular No. A-136** for more details.

Significant entities must ensure that funds from dedicated collections are denoted on the Super Master Account File (SMAF) in GTAS as an "E" for the Reporting Type Code. To request an "E" Reporting Type Code for a specific TAS, send an email to **GTAS.team@fiscal.treasury.gov**. This TAS designation will crosswalk the funds from dedicated collections amounts and activity to the applicable reclassified financial statement line items. For additional guidance, see **OMB Circular No. A-136**.

4735.20c—Criminal Debt

Criminal debt primarily consists of fines and restitution that result from a wide range of criminal activities, including domestic and international terrorism, drug trafficking, firearms activities, and white-collar fraud. When an individual is sentenced in a federal criminal case, the judge may order the defendant to pay certain financial obligations, which may include a case assessment, fine, restitution, penalty, bail bond forfeiture, or interest. The Department of Justice's (DOJ) Executive Office for U.S. Attorneys is responsible for establishing policies and procedures for the collection of criminal monetary penalties. The U.S. Attorneys are responsible for the enforcement of judgments, fines, penalties, and forfeitures imposed in their respective districts. There are 93 U.S. Attorneys stationed throughout the 50 states, Puerto Rico, the Virgin Islands, Guam, and the Northern Mariana Islands. The U.S. Attorneys publish the Annual Statistical Report that contains statistical tables displaying both national and district caseload data, covering the many priorities of the U.S. Attorneys in both criminal prosecution and civil litigation. The data supporting the Annual Statistical Report is obtained from the DOJ Consolidated Debt Collection System (CDCS). The CDCS is the system of record for debts being collected by DOJ on behalf of others, including federal entities. The system is used by the U.S. Attorneys' Offices, DOJ's other litigating divisions, and contracted Private Counsel Offices

to monitor and track delinquent civil and criminal debts owed to the federal government. The funds collected in federal restitution are disbursed back to the appropriate federal entities, while funds collected in bond forfeitures, fines and assessments are deposited into the Crime Victims Fund. Funds collected from penalties and certain costs are deposited in the General Fund. The U.S. Courts assist DOJ with the receipt and distribution of financial obligations ordered in a criminal judgment and serve as a conduit between the defendant and DOJ. The majority of payments made to satisfy criminal restitution are received at the Clerk of Court offices. The Clerk of Court offices have the payee details from the criminal judgment to ensure proper disbursement of payments.

Non-exchange revenues include income taxes, excise taxes, employment taxes, duties, fines, penalties, and other inflows of resources arising from the government's power to demand payments from the public. Non-exchange revenue should be recognized when a specifically identifiable, legally enforceable claim to resources arises, to the extent that collection is probable (more likely than not) and the amount is reasonably estimable (SFFAS No. 7, par. 48). For accounts receivable resulting from non-exchange transactions, recognition is based on the completion of the assessment process that establishes an identifiable, legally enforceable claim to cash or other assets (SFFAS No. 7, par. 53). Assessments recognized as accounts receivable include court actions determining an assessment (SFFAS No. 7, par. 54). Federal accounting standards require that an allowance for uncollectible amounts be established to reduce the gross amount of receivables to its net realizable value (SFFAS No. 1, par. 45).

Public Access to Court Electronic Records (PACER) is an electronic public access service that allows registered users to obtain case and docket information online from federal appellate, district, and bankruptcy courts. The Judgment in a Criminal Case form issued by a court is a public record filed with the Clerk of Courts. The criminal judgment form and related case documents can be obtained via PACER. The Judgment in a Criminal Case form includes a schedule for Criminal Monetary Penalties, which details if any assessments, fines, or restitution have been established in the final judgment in a criminal case and lists the payees and amount of restitution ordered for each payee. This schedule also indicates if the fine or restitution are subject to interest. The Judgment in a Criminal Case form also includes the Schedule of Payments, which lists the specific details as to when payments are to commence and the frequency of when payments are due. When a federal entity is listed as a payee in the Judgment in a Criminal Case form, the legally enforceable claim to cash or other assets is established.

Significant entities and other entities that are owed restitution as the result of a judgment in a criminal case are required, if material, to report in Note 6: Accounts Receivable, Net in **OMB Circular No. A-136**.

4735.20d—Social Insurance

The Statements of Social Insurance and the Statement of Changes in Social Insurance Amounts (SCSIA) are required by SFFAS Nos. 17, 25, 26, and 37 to be presented as basic financial statements. The Social Insurance reporting entities are the Social Security Administration (SSA), the Department of Health and Human Services (HHS), the Railroad Retirement Board (RRB), and DOL.

Most of the social insurance information pertaining to Social Security and Medicare can be obtained from SSA (the current year signed Annual Report of the Board of Trustees of the Federal Old-Age and Survivors Insurance and Federal Disability Insurance Trust Funds) and from HHS (the 2023 Annual Report of the Boards of the Trustees of the Federal Hospital Insurance and the Federal Supplementary Medical Insurance Trust Funds, and the Centers for Medicare and Medicaid Services' (CMS) Workbook). HHS will provide Fiscal Service the CMS Workbook for data entry purposes. The remaining data for social insurance from SSA and HHS will come from their AFR/PAR. It is noted that the social insurance information from RRB and DOL will come directly from their AFR/PAR. RRB, however, will provide to Fiscal Service a spreadsheet with the amounts of its current year SCSIA for data entry purposes. For additional guidance, see **OMB Circular No. A-136**.

4735.20e—Fiduciary Activities

In a fiduciary activity, the government collects or receives and subsequently manages, protects, accounts for, invests, and disposes of cash or other assets in which non-federal individuals or federal entities have an ownership interest that the government must uphold. Non-federal individuals and federal entities must have an ownership interest in the cash or other assets held by the government under provision of loan, regulation, or other fiduciary arrangement. The ownership interest must be enforceable against the government, and judicial remedies must be available for the breach of the government's fiduciary obligation. Federal entities should account for this fiduciary activity, which includes the collection of cash or other assets and their distribution to the non-federal owners or their beneficiaries, in accordance with SFFAS No. 31. In accordance with the standard, there is relatively similar government activity that is specifically excluded from the SFFAS No. 31 reporting requirements, such as payroll withholdings and garnishments; unearned revenue; and seized property.

The standard requires that the government's fiduciary activities and a description thereof be included as a note disclosure. In addition, the government must disclose that the fiduciary assets are not assets of the government and are, therefore, not recognized on the U.S. Government Balance Sheet. However, at the government-wide level, the U.S. Government Balance Sheet recognizes a liability for fiduciary Fund Balance with Treasury and a liability for fiduciary investments in U.S. Treasury securities that are included in the federal entities' fiduciary assets. Federal entities must ensure proper TAS designation of their fiduciary TASs each fiscal year. This, in turn, ensures the fiduciary data crosswalks properly to the AFRs/PARs.

However, both significant entities and other entities with fiduciary activity must enter the federal entity fiduciary activity note disclosure information in Fiduciary Activities Note in the **OMB Circular No. A-136**.

Significant entities must ensure that fiduciary activities are denoted on the SMAF in GTAS as a "F" for Reporting Type Code. To request a "F" Reporting Type Code for a specific TAS, send an email to **GTAS.Team@fiscal.treasury.gov** and a description of how the TAS will be used.

4735.20f—Reporting of Government Account Series (GAS) Investments with Fiscal Service Purchased by Federal Entities Using Fiduciary or Non-fiduciary Funds

The Department of the Treasury GAS securities purchased using a non-fiduciary fund are normally classified as intra-governmental. The investments in GAS securities by non-fiduciary funds and the associated USSGL accounts should be reported with a federal/non-federal attribute domain value of "F" with a corresponding federal trading partner of 020 for the Department of the Treasury.

The purchase of the Department of the Treasury GAS securities using a fiduciary fund is not classified as intra-governmental. The investments in GAS securities by a fiduciary fund and the associated USSGL accounts should be reported with a federal/non-federal attribute domain value of "F" with a corresponding federal trading partner of 020 for the Department of the Treasury for budgetary reporting only. The balance will be excluded from the Balance Sheet when consolidating the Financial Report when reported by an account with Reporting Type Code attribute domain value "F" (fiduciary).

Note: The Department of the Treasury will still report the liability as federal debt and interest payable with federal/non-federal attribute domain value "N" to allow for appropriate Balance Sheet presentation on the Financial Report.

4735.20g—Department Code Reporting for General Fund Activities

Federal entities that record activities with the General Fund must properly record the activity at the government-wide level to assist with the preparation of the Financial Report. Refer to **USSGL** guidance (Section VI-Crosswalks to Reclassified Statements) for a description of each reclassified Financial Report line, and Appendices 2 and 3 for a listing of reclassified Financial Report line Reciprocal Category (RC) designations and the financial statement to which they relate. Please refer to Appendix 11 for full General Fund reporting guidance.

Federal entities should contact Fiscal Service, via email at **GovernmentwideIGT@fiscal.treasury.gov**, if they are unsure about what the correct trading partner assignment is for a particular transaction.

4735.20h—Non-reciprocating Activities

Z (intra-governmental)—This is an attribute domain value of a USSGL account balance that results from transactions that are intra-governmental in nature, but no reciprocal balances will be reported by any other federal entity. The attribute is limited to RC 29.

An example of a non-reciprocating activity is as follows:

- Liabilities temporarily recorded to clearing accounts related to intra-governmental activity.

4735.20i — Federal Lease Accounting

Statements of Federal Financial Accounting Standards

SFFAS No. 54, Leases, as amended by SFFAS No. 58, No. 60, No. 61. and No. 62, replaces proprietary lease accounting and disclosure standards for general purpose federal financial reports. Federal reporting entities should review SFFAS No. 54, as amended, and Federal Financial Accounting Technical Release (TR) No. 20, as amended. Questions and answers in TR No. 20 provide implementation guidance for applying the requirements of SFFAS No. 54.

Federal Lease Accounting Background

SFFAS No. 54 requires that federal lessees recognize a lease liability and a right-to-use lease asset (also referred to as a lease asset), and that federal lessors recognize a lease receivable and unearned revenues at the commencement of the lease term, unless the lease meets the definitional criteria of a short-term lease, contract or agreement that transfers ownership, or an intra-governmental lease. Lease assets/liabilities (or, for lessors, lease receivables and unearned revenues) are not recognized on the Balance Sheet when accounting for intra-governmental or short-term leases, but normal requirements for prepayments and receivables/payables continue to apply based on the guidance provided in SFFAS No. 1 and SFFAS No. 5.

Per SFFAS No. 54, a lease is a contract or agreement whereby one entity (lessor) conveys the right to control the use of an underlying asset to another entity (lessee) for a period of time specified in a contract or agreement in exchange for consideration. Entities should consider whether the contract conveys the "right to control" the use of the underlying asset by assessing whether the contract or agreement gives the lessee both the right to obtain and the right to control access to the benefits/services of the underlying asset. Under SFFAS No. 54 guidance, leases may include agreements that meet the definition for a lease, even though they are not explicitly identified as leases.

Leases per Procurement/Acquisitions versus Leases per Accounting

The definition of what constitutes a lease may vary depending on the perspectives and bodies of authority a federal organization is applying when managing contracts, agreements, or similar arrangements. Leases have different definitions that may apply to the fields of

procurements/acquisitions and legal authorities (which can be unique to a particular federal entity) as well as budgeting.

For some procurements/acquisitions the legal definition of contract/agreement might be “a conveyance to the government of the right of exclusive possession of real property for a definite period of time by a landlord. It may include operation services provided by the landlord” (General Services Acquisition Manual, 570.102).

The proprietary accounting definition as defined by FASAB is conveyance of the right to obtain and control access to economic benefits or services from use of the underlying asset as specified in the contract or agreement in exchange for consideration. The fact that a federal reporting entity may not have leasing authority from a legal perspective does not preclude a contract/agreement from being considered a lease (or containing a lease in a bundled or consolidated procurement) for proprietary accounting recognition purposes.

It is important for entities to complete a comprehensive review of all significant contracts and agreements to identify characteristics of a lease for proprietary accounting recognition, financial reporting, and disclosure requirements. Current contracts (under today’s SFFAS Nos. 5 and 6’s terminology of leases) that may not be considered a capital lease or operating lease could be considered a right-to-use lease under new SFFAS No. 54 guidance. SFFAS No. 54 Par. 2 states that right-to-use leases include contracts or agreements that, although not explicitly identified as leases, meet the definition of a lease. In addition, some operating leases not currently recognized on the Balance Sheet will be required to be recognized as right-to-use lease assets under SFFAS No. 54.

Primary characteristics of leases under SFFAS No. 54 include:

- Having BOTH (1) the right to obtain economic benefits or services from use of the underlying asset as specified in the contract or agreement; and (2) the right to control access to the economic benefits or services of the underlying asset as specified in the contract or agreement (SFFAS No. 54, Par. 3).
- Control must be granted for a stated period of time, as specified in the contract or agreement (SFFAS No. 54, Par. 2 and TR No. 20, Par. 5). Arrangements where control is granted for an indefinite period of time do not meet the definition of a lease.
- The rights to obtain benefits and control must be made in exchange for consideration (SFFAS No. 54, Par. 2 and TR No. 20, Pars. 5, 14, & 15).
- When contracts or agreements contain both a lease (such as the right-to-use a building) and a non-lease component (such as a maintenance service for the building), the entity should still account for the underlying lease and non-lease asset as separate contracts or agreements, if applicable. However, any non-lease components should be accounted for as separate expenses and not recorded as part of the lease (See SFFAS No. 54, Par. 73 and 76).

- For entities applying the practical accommodation in SFFAS No. 62, for contracts that are primarily non-lease contracts that include a lease component, the entity would not record a lease component of such contract following SFFAS No. 54.

For proprietary accounting purposes, the following are lease exclusions from consideration as a lease but might be considered a lease for procurement/acquisition purposes.

- Contracts or agreements explicitly for services (identifiable tasks are provided rather than a tangible asset) (SFFAS No. 54, Par. 4).
- Leases of assets prior to the start of the lease term (assets under construction) (SFFAS No. 54, Par. 5).
- Leases/Licenses of Internal Use Software (SFFAS No. 54, Par. 5).
- Contracts/agreements of underlying assets lasting indefinitely without cancellation options (Permanent easements, rights-of-way, and land rights) (SFFAS 54, Par. 2, and TR No. 20, Par. 5).
- Contracts/agreements of underlying assets obtained without consideration (Permanent easements, rights-of-way, and land rights) (SFFAS No. 54, Par. 2 and TR No. 20, Par. 5).
- Contracts/agreements of underlying assets in which the lessor (providing entity) retains certain rights not specified in the contract that may limit the rights of a lessee (customer entity) to control economic benefits or services derived from using the underlying asset that are not specified in the contract (SFFAS No. 54, Par. 3 and TR No. 20, Par. 5, as amended).
- Contracts/agreements of underlying assets in which the providing entity retains the right to control access to the economic benefits or services of the underlying asset (SFFAS No. 54, Par. 3 and TR No. 20, Par. 5).
- Contracts/agreements of underlying assets in which no payments or in-kind services are provided (TR No. 20, Par. 14).
- Contracts/agreements that (a) transfer ownership of the underlying asset to the lessee (customer entity) by the end of the contract or agreement and (b) do not contain options to terminate, but that may contain an availability of funds or cancellation clause that is not probable of being exercised. should be reported as a purchase of the underlying asset by the lessee (customer entity) or as a financed sale of the asset by the lessor (providing entity) (SFFAS No. 54, Par. 25).

Entities may establish materiality thresholds (similar to capitalization thresholds when accounting for fixed assets) for non intra-intragovernmental, non short-term leases and recognize all such leases at or above the threshold in accordance with SFFAS No. 54. Entities have flexibility in how they account for leases that are below the threshold, which are immaterial both individually and in the aggregate.

Key Entity Decisions for Proprietary Accounting

Classification of intra-governmental leases is straightforward: If a contract or agreement occurring within a federal consolidation entity, or between two or more federal consolidation entities, as defined in SFFAS No. 47, Reporting Entity, and one entity (lessor) conveys the right to control the use of an underlying asset to another entity (lessee) for a period of time specified in a contract or agreement in exchange for consideration, then the contract/agreement is classified as an intra-governmental lease.

When classifying non intra-governmental leases, entity management is responsible for exercising professional judgement and collaborating within its entity to reach certain determinations before establishing lease proprietary accounting treatment, including:

1) Lease Term, with consideration for Options, Renewals/Terminations, and Cancellation Clauses. Calculating the lease term for non intra-governmental leases is pivotal because the classification between short-term leases and right-to-use leases depends on the lease duration. The lease term is determined to be the noncancelable lease period, plus certain periods subject to options to extend or terminate the lease. Entities should carefully review specific provisions from SFFAS Nos. 54, 60, and 61 when determining the lease term. In addition, some specific provisions may also need to be applied when determining the lease term. Please see SFFAS 5, Pars. 14-21 for full guidance on the lease term. Also see Technical Release 20, Pars. 20-31, and Technical Release 22, Pars. 7-8 for specific lease term examples.

2) Calculation of Lease Asset/Liability, with consideration for Fixed vs. Variable Payments. The Lessee's lease liability and the Lessor's lease receivable should include the present value of payments expected to be made during the lease term. Generally, these include fixed payments, certain variable payments that are fixed-in-substance or depend on an index or rate, and certain lease incentives. Other variable payments should not be included in the measurement of the lease asset/liability but should be recognized as lease expense/revenue during the reporting period to which they relate. For a complete list of payment types to include in the present value of payments, please see SFFAS 54, Pars. 40 and 56.

3) Selection of Interest Rates for Proprietary Accounting - Amortization of Discount on Lease Liability/Receivable. Future lease payments should be discounted using the interest rate the lessor charges the lessee. When the rate is not stated in the lease, SFFAS No. 61 allows entities flexibility to use a rate based on a recent marketable Treasury security rate, or a historical average interest rate on marketable Treasury securities of a similar maturity to the term of the lease: "If the interest rate is not stated in the lease, the interest rate should be based on the interest rate on marketable Treasury securities at the commencement of the lease term (or at the subsequent financial reporting date), with a similar maturity to the term of the lease." (SFFAS 61, Par. 6) Entity methodology for selecting interest rates based on marketable Treasury securities should be consistent from period to period and be documented. Entities may find

additional information on the interest rates on marketable Treasury securities at: **https://www.treasurydirect.gov/marketable-securities/**.

4) Modifications, Terminations, and any respective remeasurements. See SFFAS 54, Pars. 80-86.

A short-term lease is a non intra-governmental lease with a term of 24 months or less. Options to renew, options to terminate, and other modifications may significantly affect the calculation of the lease term, and thus impact the appropriate classification of the lease. No short-term leases should be reported on the Balance Sheet, other than the appropriate assets/liabilities for rent paid in advance or for rent due. A lessee should recognize lease payments paid to the lessor as expenses, while the lessor recognizes lease receipts as revenue, based on the payment provisions of the contract and other applicable standards. Rental increases/decreases, lease incentives, and lease concessions associated with short-term leases should be recognized by the lessee and lessor when incurred as increases/reductions to lease rental expense and income.

5) Contracts or Agreements with Both Non-lease and Lease Components

For contracts or agreements containing both non-lease and lease components, in which the purpose of the contract is primarily attributable to the non-lease component(s), entities may elect to apply the practical accommodation in SFFAS No. 62.

This practical accommodation allows for the entity to treat the entire contact (including lease components) as a non-lease contract, and expense/recognize as revenue the lease payments, rather than recognizing both expenses/revenue and lease assets/liabilities following SFFAS No. 54 (see SFFAS No. 62 for complete details on how to make the election, along with certain reporting and disclosure requirements. The transitional accommodation applies only to contracts or agreements that meet both of the criteria within Paragraph 96A).

Entity management must use professional judgement to assess the nature of contracts or agreements to make the most appropriate decision on the primary purpose of the contract. (SFFAS No. 62, Par. 5)

Reporting Entity Procedure/Requirements

For budgetary accounting of leases, federal reporting entities should continue to follow guidance in OMB Circular No. A-11, Appendix B.

Entity management is responsible for exercising professional judgement and collaborating within its entity to reach certain determinations before establishing budgetary accounting treatment, including:

- Operating vs. Capital Leases (as defined by Appendix B of OMB Circular No. A-11),
- Budgetary Lease Term, with consideration for Cancellation Clauses,

- The Budgetary Interest Rate is selected per OMB Circular No. A-94, Appendix C guidance, and
- Budget Authority and Outlays.

Guidance for identifying budgetary interest rates can be found within OMB Circular No. A-94, Appendix C.

USSGL accounts and updated crosswalks are included in the FY 2025 **USSGL TFM Supplement**. In addition, lease accounting scenarios can be found at: **The U.S. Standard General Ledger - USSGL Implementation Guidance**.

Federal reporting entities will be requested to provide the Department of the Treasury with evidence showing reasonable assurance of completeness of their leases under SFFAS No. 54, as amended for the government-wide financial statements.

4735.30—Special Basis of Accounting

SFFAS No. 34, *The Hierarchy of Generally Accepted Accounting Principles*, establishes what constitutes GAAP for federal reporting entities. SFFAS No. 34 recognizes that some federal component reporting entities prepare and publish financial statements (pursuant to the accounting and reporting standards issued by the FASB) and provides that such financial statements prepared in conformity with accounting standards issued by the FASB also may be regarded as in conformity with GAAP. Per SFFAS No. 47, Reporting Entity, consolidation entities (that is, the consolidated government-wide reporting entity or a consolidated component reporting entity) may consolidate component or sub-component reporting entity financial statements prepared in accordance with FASB GAAP without conversion for any differences in accounting policies among the organizations. As a result, entities reporting in conformity with FASB GAAP, consistent with SFFAS 34, may also report their data to GTAS in conformity with FASB GAAP.

Significant entities that are FASB reporters are required to provide Fiscal Service certain audited information that is necessary for the audit of the government-wide financial statements (see Appendix B). This includes information for Note 5 (Investments), Note 21 (Funds from Dedicated Collections), and Note 36 (Reclassification of Financial Statements Line Items). The information to be provided and the manner of obtaining audit coverage must be determined in consultation with Fiscal Service. Please reference the FY 2025 TFM Year-end Closing Bulletin for guidance on transmission of applicable documents.

Significant entities that are FASB reporters need to also report the information in OMB Circular No. A-136, Section II.3.8.36-Note 36: Reclassification of Financial Statement Line Items. Such information may be reported by the significant reporting entity in (i) its annual financial report within a note to the financial statements, (ii) a limited use audited financial statements that

includes the Note 36, or (iii) an audited Note 36 (an audit of a special element). FASB reporters that are utilizing the Balance Sheet illustrated in OMB Circular No. A-136 are not required to produce Note 36 for the Balance Sheet. Significant entities that are FASB reporters with a calendar year-end should provide reclassification information to Fiscal Service with the audit assurance limited to the line items or note disclosures identified by Fiscal Service, as discussed below. The FASB reporting entities will also provide the Department of the Treasury the associated crosswalk used to prepare Note 36. Please see the OMB Circular No. A-136 for complete details.

(1) Significant entities that are currently FASB reporters are:

- Federal Deposit Insurance Corporation,
- National Credit Union Administration,
- National Railroad Retirement Investment Trust,
- Pension Benefit Guaranty Corporation,
- Smithsonian Institution,
- Tennessee Valley Authority,
- U.S. Postal Service, and
- Farm Credit System Insurance Corporation.

Note: National Credit Union Administration Share Insurance Fund is presented in conformity with FASAB Standards while the Operating Fund, Central Liquidity Facility, and Community Development Revolving Loan Fund are presented in conformity with FASB Standards.

Significant entities with a year-end other than September 30 (i.e., calendar year-end) are subject to all requirements of this TFM chapter. Significant entities with a calendar year-end will report their September 30 account balances in their GTAS ATB submission in accordance with the GTAS Reporting Window Schedule. This set of data, as of September 30, will be used to populate the reclassified financial statement lines through the USSGL crosswalk. These entities are required to have audit assurance on line items or note disclosures that contribute to the top 99% of the total Financial Report line-item data. These entities will receive a report during the second quarter from the Department of the Treasury, outlining which lines and/or notes are required to have audit assurance as of September 30 each year. Entities must provide Fiscal Service a copy of the independent audit report that includes the results of the audit performed on the material line items and notes disclosures identified by Fiscal Service. This audit report will normally be due by November 15.

(2) Significant entities with a calendar year-end:

- Farm Credit System Insurance Corporation,
- Federal Deposit Insurance Corporation, and
- National Credit Union Administration.

4735.40—Parent/Child Reporting

The parent entity (transferor of the appropriation) must report all activity of the child in its financial statements, whether material to the child entity (recipient of the transfer) or not, unless one of the two exceptions (detailed below) applies. The parent entity is the trading partner entity for activity involving these TAS. For more detail on how to report trading partner information, please refer to Appendices 1a and 1b.

The two exceptions to the requirement for parent/child reporting (from OMB Circular No. A-136, revised) are:

1. The parent is the Executive Office of the President.
2. Funds transferred from the Judiciary to the DOJ's U.S. Marshals Service for court security.

In these cases, the receiving entity (child) is responsible for reporting all budgetary and proprietary activity in its financial statements and is the trading partner entity. Please refer to Appendices 1a and 1b for details on reporting trading partner information.

GTAS requires the parent entity and the child entity to agree on which federal entity will report the TAS in the bulk file submission.

4735.50—Reciprocal Categories

A RC is comprised of a set of reclassified financial statement line items that are the reciprocal of each other (for example, accounts payable/accounts receivable). These categories assist in the elimination of federal activity at the government-wide level to prepare the Financial Report. Additionally, these RCs facilitate the reconciliation of activities between federal entities. Please see Appendix 2 for a complete list of RCs and the financial statements to which they relate.

Note: General Fund activities must report via GTAS ATB to be crosswalked to a reclassified financial statement line with a RC 30–48 designation for identifying General Fund activity at the government-wide level.

4735.60—Treaties and Other International Agreements

Treaties and other international agreements may create contingencies requiring recognition (as a liability and expense) or disclosure in the financial statements. As such, all federal entities should consider treaties and other international agreements in the analysis and preparation of the entities' annual financial statements.

Treaties and other international agreements are written agreements between the U.S. and other sovereign states, or between the U.S. and international organizations, governed by international law. The subjects of treaties span the whole spectrum of international relations: peace, trade, defense, territorial boundaries, human rights, law enforcement, environmental matters, and

many others. The Department of State (State) developed and continues to manage the **Circular 175 Procedure (C-175 Procedure)**, which outlines the approval process for the negotiation and conclusion of international agreements to which the U.S. will become a party.

As discussed in SFFAS No. 5, "A liability for federal accounting purposes is a probable future outflow or other sacrifice of resources as a result of past transactions or events." SFFAS No. 5 also states that "The probability of a future outflow or other sacrifice of resources is assessed on the basis of current facts and circumstances. These current facts and circumstances include the law that provides general authority for federal entity operations and specific budget authority to fund programs. If budget authority has not yet been provided, a future outflow or other sacrifice of resources might still meet the probability test if (1) it directly relates to ongoing entity operations and (2) it is the type for which budget authority is routinely provided. Therefore, the definition applies both to liabilities covered by budgetary resources and to liabilities not covered by budgetary resources."

Per State's **C-175 Procedure**, federal entities negotiating and concluding treaties and other international agreements on behalf of the U.S. government are required to indicate whether a proposed treaty or other international agreement embodies a commitment to furnish funds, goods, services, or other measurable future financial obligations beyond or in addition to those authorized in an approved budget; and if so, what arrangements are being planned or carried out by the federal entity concerning consultation with OMB for such commitment. State will not authorize such commitments without confirmation that the relevant budget approved by the President requests or provides funds adequate to fulfill the proposed commitment, or that the President has decided to seek the required funds. All provisions of the **C-175 Procedure** apply whether a proposed treaty or other international agreement is to be concluded in the name of the U.S. government, or in the name of a particular federal entity of the U.S. government.

For financial reporting purposes, all treaties and other international agreements may be understood as falling into three broad categories:

1. No present or contingent obligation to provide goods, services, or financial support (no recognition or disclosure),
2. Present obligation to provide goods, services, or financial support (recognition), or
3. Contingent obligation to provide goods, services, or financial support (may require recognition or disclosure).

No Present or Contingent Obligation to Provide Goods, Services, or Financial Support

(no recognition or disclosure)

Treaties and other international agreements under the first category do not result in a liability or contingency when entered into force. Instead, these treaties or other international agreements

may establish frameworks that govern cooperative activities, such as aviation safety with other countries, but leave to the discretion of the parties whether to engage in any such activities. In other cases, the agreements may contemplate specific cooperative activities, but create no present or contingent obligations to engage in them. Cooperative activities relevant to these treaties and other international agreements often involve actions that federal entities undertake as part of their regular operations, funded by their regular budgets.

Present Obligation to Provide Goods, Services, or Financial Support

(recognition)

Treaties and other international agreements falling in the second category involve a present obligation, and therefore result in liability recognition. Such present obligation may relate to the U.S. Government providing financial and in-kind support, including assessed contributions, voluntary contributions, grants, and other assistance to international organizations in which it participates as a member. Examples of such agreements include:

- Agreements establishing international organizations, under which the U.S. Government undertakes obligations to pay assessed dues to the organization,
- Grant agreements under which the U.S. Government provides foreign assistance funds to other countries, and
- Claims settlement agreements under which the U.S. Government agrees to pay specific sums of money to settle claims.

Such agreements may not be entered without specific statutory authority to undertake the obligation to spend money. Liabilities arising from such agreements should be recognized for any unpaid amounts due as of the reporting date. The liabilities include amounts due from the federal entity to pay for benefits, goods, or services provided under terms of the agreements, as of the entity's reporting date, whether such amounts have been reported to the entity. These liabilities may either be fully funded or established against future funding.

Contingent Obligation to Provide Goods, Services, or Financial Support (may require recognition or disclosure)

The last category encompasses treaties or other international agreements which result in contingencies that may require recognition or disclosure in the financial statements. Such contingencies may stem from commitments in a treaty or other international agreement to provide goods, services, or financial support when a future event occurs, or from litigation, claims, or assessments forged by other parties to the agreement. In such instances, conditions, situations, or circumstances exist involving uncertainty as to possible gain or loss to an entity that will ultimately be resolved when one or more future events occur or fail to occur. In accordance with SFFAS No. 5, a contingent liability should be recognized on the face of the

basic financial statements when a past event or exchange transaction has occurred, and a future outflow or other sacrifice of resources is probable and measurable. If any of the conditions for liability recognition are not met, and there is at least a reasonable possibility that a loss or an additional loss may have been incurred, a contingent liability should be disclosed in the notes regarded as an integral part of the basic financial statements.

Disclosure should include the nature of the contingency and an estimate of the possible liability, an estimate of the range of possible liability, or a statement that such an estimate cannot be made. For circumstances where the recognition or disclosure of a contingent liability relates to litigation, claims, or assessments resulting from the U.S. Government's involvement in a treaty or other international agreement, federal entities should summarize the financial treatment of such contingencies (recognition or disclosure) relative to the financial statements in the annual legal letter process. Any legal claim that is related to a treaty or other international agreement should be indicated as such on the **legal letter form** and in the appropriate column in the entity's **Management Schedule**. For a summary of the proper financial treatment of contingent liabilities related to litigation, claims, and assessments, refer to subsection 4745.10—Legal Letter Reporting Requirements.

Federal entity management must determine whether the entity has treaties and other international agreements it is responsible for reporting. If the federal entity has treaties and other international agreements it is responsible for reporting, entity management must:

- Develop and implement effective internal controls to reasonably assure (1) the proper financial reporting of treaties and other international agreements, including a review of potential contingent liabilities; and (2) the establishment of related liabilities and note disclosures for both liabilities covered and not covered by budgetary resources.
- For each treaty and other international agreement, determine the appropriate category (i.e., no present or contingent obligation to provide goods, services, or financial support; present obligation to provide goods, services, or financial support; or contingent obligation to provide goods, services, or financial support).
- Review, with General Counsel (at least annually), the entity's treaties and other international agreements relative to appropriate FASAB or FASB standards to identify, monitor, and report any related commitments and contingencies. In alignment with guidance defined in SFFAS No. 5, as amended, recognition or disclosure of a contingent liability is based on the likelihood and measurability of a future outflow or other sacrifice of resources.

Section 4740—MRL

In accordance with **OMB Circular No. A-136**, Section IV.5., the written representations from the federal entities' management and accompanying SUM are required for the audits of federal

entity financial statements used to compile the Financial Report. Significant entities with a year-end other than September 30 need to provide an MRL to Fiscal Service (see the FY 2025 TFM Year-end Closing Bulletin for due dates). Significant entities that are FASAB and FASB reporters that report on the fiscal or calendar year-end are required to provide the representations shown in the current OMB Audit Bulletin, Section 8 and Appendix E. Federal entities should attach a SUM that includes the effect of any uncorrected misstatements from the financial statement audit in the standardized Excel format shown in the latest version of the Financial Audit Manual (FAM), Volume 1, Section 595C. Please refer to 4740.20 (SUM Process), guidance in OMB Circular No. A-136, Section IV.5, the current OMB Audit Bulletin, Section 8 (Written Representations from Management), Appendix E (Illustrative Written Representations from Management for the Financial Statements), and the current version of the FAM, Volume 2, Section 1001.

4740.10—Subsequent Events and MRL Representations

Subsequent events, for the purposes of this section, are events occurring **after** the significant entity's management representations have been signed and the financial statements have been issued and **before** the date specified by the Department of the Treasury. These events may include, for example, the enactment of significant legislation, the occurrence of events affecting the realization of assets (such as receivables), or the settlement of estimated liabilities or contingencies (under SFFAS No. 39) that would have materially affected the significant entity's financial statements

The significant entity head, CFO, or others deemed responsible for management representations must email a subsequent events update to OMB, Fiscal Service, Department of the Treasury (Main), and GAO (see *Contacts* and FY 2025 TFM Year-end Closing Bulletin). The notification should indicate (1) the purpose of the update; (2) the subsequent events update (statement must specify even if there are "no" subsequent events to report); (3) the management representation update and (4) a representation regarding the use of the update. Regardless of whether a significant entity reports a subsequent event, the subsequent events notification must state that the entity understands that the subsequent events update will be used by Department of the Treasury and OMB to prepare the Financial Report and the Financial Report MRL. Please see the OMB Circular No. A-136, IV.6, *Subsequent Events and Written Representations Update*, for illustrative statements and additional information.

4740.20—SUM Process

Significant entities must include a SUM as a part of their financial statement MRL (as stated in Section 4740). Significant entities with a year-end other than September 30 do not have to provide a SUM. The SUM is for federal entities' current-year Balance Sheet, SNC, SCNP,

Statement of Budgetary Resources, Statement of Social Insurance, and SCSIA (if applicable). *If there are no uncorrected misstatements, a representation to this effect is required in the MRL*.

Federal entities are required to provide the adjusting entries needed to correct the misstatements management declined to record in the financial statements. A SUM and adjusting entries **must be obtained from entity auditors and submitted in the standardized Excel format as shown in the current year version of the FAM, Volume 1, Section 595C**. The SUM should include both the balance sheet and net cost approaches, formerly referred to as the iron curtain and rollover methods, respectively. For details surrounding how to transition entries from the balance sheet approach to the net cost approach, refer to FAM, Volume 1, Section 595C. Further, the list of adjusting entries should contain the following:

- A reference to an adjustment number or documentation reference.
- A statement as to whether the uncorrected misstatement is factual, judgmental, or projected.
- A description of the uncorrected misstatement, including details surrounding how the misstatement would have impacted the current year financial statements.
- An indication of whether each account affected is a federal governmental (F) or a nonfederal public account (N).
- The USSGL account number for each line in the entry.
- A description for each of the USSGL accounts (i.e., corresponding financial statement line items).
- The amount of the debit or credit.

Please refer to the example below for reporting the adjusting entries for the SUM to Fiscal Service.

Adj. #	Factual, judgmental, or projected?	Description of uncorrected misstatement	Federal governmental (F) or nonfederal public (N)	USSGL account number	Financial statement line item	(Dollars in thousands) Debit	Credit
Misstatements under balance sheet approach							
1	Judgmental	To accrue accounts payable for Program A.	N	6100	Gross cost – Program A	$230	
			N	2110	Accounts payable		$230
2	Factual	To decrease operating expenses overstated due to a cutoff error at the end of the current year.	N	2990	Other liabilities	$200	
			N	6100	Gross cost – Program A		$200
3	Factual	To increase current-year loan bad debt expense in Program B. [Actual error amount of an intragovernmental sample item.]	F	6100	Gross cost – Program B	$25	
			F	1310	Accounts receivable		$25
4	Projected	To increase current-year loan bad debt expense in Program B. [Additional projected misstatement as a result of actual error amount of sample item from adj. #3 above projected to the population. Total projected misstatement of $105 less $25 actual misstatement]	F	6100	Gross cost – Program B	$80	
			F	1310	Accounts receivable		$80
6a	Factual	To decrease improper expense accrual for the current year and prior 4 years.	N	2990	Other liabilities	$100	
			N	6100	Gross cost – Program A		$100
Adjustments to transition from balance sheet approach to net cost approach							
6b	Factual	To reverse improper expense accrual as of the end of the prior year.	N	6100	Gross cost – Program A	$80	
			N	3310	Beginning net position		$80
7	Factual	To increase current-year operating expenses understated due to a cutoff error at the end of the prior year.	N	6100	Gross cost – Program A	$300	
			N	3310	Beginning net position		$300

For additional guidance, see the current OMB Audit Bulletin, Section 8 (Written Representations from Management) and Appendix E (Illustrative Written Representations from Management for the Financial Statements), and OMB Circular No. A-136, revised, on the **OMB** website and GAO's current version of the FAM, Volume 1, Section 595C, on the **GAO** website.

Section 4745—Legal Counsel Response Process

4745.10—Legal Letter Reporting Requirements (Legal Counsel Response and Management Schedule)

Significant entities' General Counsel must prepare interim and final legal counsel responses that describe and evaluate pending or threatened litigation, claims, and assessments in which legal counsel has been engaged and has devoted substantial attention, in the form of legal consultation or representation, on behalf of the entity. When preparing the legal counsel response, a significant entity's General Counsel must also consider unasserted claims and assessments that management considers to be probable of assertion and that, if asserted, would have at least a reasonable possibility of an unfavorable outcome.

All pending and threatened litigation and unasserted claims above the materiality level agreed upon by significant entity management and its auditor, must be reported using the applicable form found on **DOJ's** website. When determining the materiality level for the legal counsel response, significant entities and their auditors should set the level sufficiently low so that the cases not included in the legal letter would not be material to the financial statements taken as a whole when aggregated with other items as described in GAO's **FAM**, Volume 2, Section 1002.20. Entities should also take the government-wide materiality level in consideration, as to

not omit any cases that would be material at the government-wide level. In aggregating cases, the significant entity and the auditor may use two levels of aggregation as discussed in **FAM**, Volume 2, Section 1002.21. First, similar cases are aggregated, treated as a group, and compared with the individual materiality level. Second, cases not included in the legal letter individually or as part of a group of similar cases are aggregated.

The legal counsel response must categorize cases, including cases to be paid from the Judgment Fund, as having a probable, reasonably possible, remote, or unable to determine chance of a negative outcome for the significant entity, consistent with the American Bar Association's Statement of Policy Regarding Lawyer's Responses to Auditor's Requests for Information (*December 1975*). When preparing the legal counsel responses, General Counsel should also reference guidance found in **OMB** Audit Bulletin.

For circumstances where litigation, claims, and assessments are handled by outside counsel, e.g., DOJ, significant entity management, in conjunction with its General Counsel, must consult the lead counsel when assessing the likelihood of loss and estimated amount or range of potential loss for cases included in the significant entities' legal counsel responses. DOJ prepares an interim and final government-wide legal counsel response based on its review of the litigation, claims, and assessments reported by significant entities that have cases that are material to the Financial Report. Fiscal Service performs a comparison of the "Pending or Threatened Litigation" and "Unasserted Claims and Assessments" forms included in DOJ's government-wide legal counsel responses to the corresponding forms and the "Management's Schedule of Information Contained in Legal Counsel Responses for Financial Reporting Purposes" (Management Schedule) included in the legal counsel response packages submitted by significant entities. If Fiscal Service identifies inconsistencies between DOJ's and a significant entity's assessments of the likelihoods of loss or estimated amounts or ranges of potential loss for these cases, Fiscal Service will collaborate with the significant entity that reported the case to coordinate efforts between the entity and DOJ to resolve the inconsistencies.

In cases that have more than one entity impacted, entities must collaborate with each other on shared cases to ensure appropriate reporting. Responsibility for the case must be allocated among impacted entities to ensure that 100% of the contingency is accounted for.

Using the Management Schedule template found on the **GTAS** website, significant entity management must prepare an interim and final Management Schedule that summarizes the contingencies included in the legal counsel responses prepared by General Counsel and documents how the information was used in preparing the entity's financial statements. The following elements on the Management Schedule must agree with General Counsel's assessments from each supporting legal counsel response form, or in unusual circumstances

where they do not agree, an explanation must be provided on the “FS Gwide Mgmt Schd” worksheet in the Management Schedule template:

Management Schedule Element	**Litigation**	**Unasserted Claims and Assessments**
Likelihood of loss (probable, reasonably possible, remote, unable to determine)	DOJ’s “Pending or Threatened Litigation” Form, Field 6 – An Evaluation of the Likelihood of an Unfavorable Outcome.	DOJ’s “Unasserted Claims and Assessments” Form, Field 4 – An Evaluation of the Likelihood of an Unfavorable Outcome.
Estimated amount or range of potential loss or indication that estimated amount or range is unknown	DOJ’s “Pending or Threatened Litigation” Form, Field 7 – An Estimate of the Amount or Range of Potential Loss.	DOJ’s “Unasserted Claims and Assessments” Form, Field 5 – An Estimate of the Amount or Range of Potential Loss.

In addition, significant entity management must indicate the accrual or disclosure of each contingency on the Management Schedule as it relates to the preparation of the entity’s financial statements. Contingent liabilities related to pending or threatened litigation and unasserted claims must be recognized and disclosed in accordance with guidance defined in SFFAS No. 5, *Accounting for Liabilities of the Federal Government*, as amended, which is summarized in the below table.

Likelihood of future outflow or other sacrifice of resources	**Loss amount can be reasonably measured**	**Loss range can be reasonably measured**	**Loss amount or range cannot be reasonably measured**
Probable: Future confirming event(s) are more likely than not to occur. For pending or threatened litigation and unasserted claims, the future confirming event(s) are likely to occur.	Accrue the liability. Report on the Balance Sheet and Statement of Net Cost.	Accrue liability of best estimate or minimum amount in loss range if there is no best estimate, and disclose nature of contingency and	Disclose nature of contingency and include a statement that an estimate cannot be made.

		range of estimated liability.	
Reasonably Possible: Possibility of future confirming event(s) occurring is more than remote but less than probable.*	Disclose nature of contingency and estimated amount.	Disclose nature of contingency and estimated loss range.	Disclose nature of contingency and include a statement that an estimate cannot be made.
Remote: Possibility of future event(s) occurring is slight.	No action is required.	No action is required.	No action is required.

*The financial reporting treatment for cases where the likelihood of future outflow or other sacrifice of resources is assessed as “unable to determine” should be consistent with the disclosure requirements for reasonably possible cases.

When evaluating the likelihood of loss for contingent liabilities, significant entities should avoid excessive and misuse of the “unable to determine” assessment. The “unable to determine” likelihood of loss should only be used to categorize cases for which the General Counsel is unable to express an opinion due to inherent uncertainties that may result from the lack of adequate information. The financial reporting treatment for cases assessed as “unable to determine” should be consistent with the disclosure requirements for reasonably possible cases. Fiscal Service will require significant entities with five or more “unable to determine” case assessments to provide written documentation of their internal processes for using this assessment when evaluating legal cases.

When evaluating the estimated amounts or ranges of potential loss for litigation, claims, and assessments, significant entities that use the claim amount as an estimated loss should ensure that an analysis has been performed that supports the determination that the claim amount is the best estimate of loss. Significant entities are encouraged to review guidance defined in SFFAS No. 5, paragraphs 38-41, as well as the American Bar Association’s Statement of Policy Regarding Lawyer’s Responses to Auditor’s Requests for Information (*December 1975*).

Significant entity Inspector Generals (IGs) must submit an interim and final legal counsel response prepared and signed by General Counsel, as well as an interim and final Management Schedule prepared by management via email to Fiscal Service, DOJ, and GAO (see the FY 2025 TFM Year-end Closing Bulletin for due dates). Legal counsel responses and the related Management Schedules are considered "Sensitive but Unclassified" and should not be

uploaded on **MAX.gov**. The interim Management Schedule should represent information as of **June 30** and the final legal counsel response must include all existing, pending, or threatened litigation and unasserted claims as of **September 30**. Only Management Schedules as of these dates should be submitted in order to remain consistent with the reporting period. To limit the number of emails required to complete the legal counsel response package submission, legal counsel response files must be combined into a single file PDF, (i.e., avoid including a separate PDF file for each case), and submitted via email. Management Schedules must be submitted in Excel format using the template provided by Fiscal Service. If the significant entity IG does not use the template provided by Fiscal Service, then the significant entity management must provide the additional details required to support the compilation of the consolidated Financial Report by preparing the template provided by Fiscal Service for each legal case in Excel format. Fiscal Service will accept this in Excel format as a separate submission, with the same due date as the previously mentioned legal counsel response package. Significant entities must provide contact information for entity representatives who are available to assist Fiscal Service with inquiries related to legal counsel response package submissions. Since significant entity's management, General Counsel, and IGs are involved in the preparation of the legal counsel response package, please provide contact information for each, or indicate that the contact(s) provided serves as sufficient representation for all areas. Federal entity participation in this collaboration process will be measured on the entity's year-end Financial Report and IGT Scorecard for the current FY.

The Export-Import Bank of the U.S., Smithsonian Institution, National Railroad Retirement Investment Trust, and calendar year-end federal entities (Farm Credit System Insurance Corporation, Federal Deposit Insurance Corporation, and National Credit Union Administration) are not required to submit an interim legal counsel response and Management Schedule. These significant entities' IGs, or management where applicable, are only required to submit a final legal counsel response and Management Schedule.

To ensure accurate and complete financial reporting and disclosures of contingent liabilities in the Financial Report, Fiscal Service will review significant entities' legal counsel response and Management Schedule submissions to confirm contingencies detailed in the legal counsel response have been appropriately summarized on the Management Schedule and reported and disclosed in the entity's financial statements in accordance with requirements in SFFAS No. 5, as amended. Significant entities must provide explanations for inconsistencies between the legal counsel response, Management Schedule, and the reporting of contingent liabilities in the financial statements on the "FS Gwide Mgmt Schd" worksheet in the Management Schedule template. Significant entities are required to reconcile the Management Schedule totals to the amounts reported in the entities' financial statement on the "Recon-MS to Fin Stmts" worksheet in the Management Schedule template. An explanation for variances identified must be

provided. Fiscal Service will follow up on any discrepancies identified in its analysis that have not been explained or justified by the significant entity.

4745.20—Other Required Information for Legal Counsel Responses

Significant entity IGs, or significant entity management for some federal entities, must provide GAO, DOJ, and Fiscal Service information relating to subsequent events that resulted in a change in the **likelihood of loss or the estimated amount or range of potential loss, or both**, from the effective date of the final legal counsel response through a date to be determined. **All** significant entity IGs, or significant entity management for some federal entities, must submit details of the subsequent events via email to GAO, DOJ, and Fiscal Service (Please see the FY 2025 TFM Year-end Closing Bulletin for all legal counsel response due dates).

Subsequent event information is based on the significant entity's materiality threshold. For additional guidance, see the current OMB Audit Bulletin, and OMB Circular No. A-136, revised, on the **OMB** website.

Section 4750—Intra-governmental Quarterly and Year-end Requirements

4750.10—Intra-governmental Transactions/Balances

Intra-governmental transactions result from business activities conducted between two federal government entities, called trading partners. Accounting differences occur in government-wide financial reporting when trading partners record differing amounts for transactions that should eliminate or net to zero. All differences should be resolved by year-end. Trading partners must reconcile and resolve these differences on a periodic basis with their trading partners. The IGT Guide (Appendix 5) contains the business rules and processes to properly record, report, and reconcile intra-governmental transactions, including the processes for dispute resolution. See the following appendices for guidance on specific types of intra-governmental transactions:

- Appendix 6—Investments and Borrowings
- Appendix 7—Benefits
- Appendix 8—Buy/Sell
- Appendix 9—Transfers
- Appendix 10—Custodial and Non-entity Transactions
- Appendix 11—General Fund of the U.S. Government

Note: The Federal Reserve System, which includes the Board of Governors, is not considered a consolidated entity in government-wide reporting entity under federal accounting standards (please note the Board of Governors is considered federal for tax purposes, however, for government-wide reporting, they are considered non-federal). Therefore, payments made to or

collections received from the Federal Reserve System would be reported in the financial statements of the federal government and its component reporting entities. All activity with the Board of Governors of the Federal Reserve System and all of the Federal Reserve System must be reported as non-federal "N" activity.

Federal Executive Boards are not considered a consolidated entity in government-wide reporting under federal accounting standards and all activity with Federal Executive Boards must be reported as non-federal "N" activity for financial reporting purposes. Please refer to Appendix 1b for a list of Disclosure Entities, SFFAS No. 47.

4750.20—Additional Intra-governmental Reconciliation Requirements

The intra-governmental transactions reconciliation and resolution requirements are stated in **OMB Circular No. A-136**, revised. CFO Representation Form requirements are stated in Section 4750.60 as well as TFM 2-4700, Appendix 4.

4750.30—Federal Intra-governmental Transactions Accounting Scenarios

To aid in the reconciliation of intra-governmental differences, federal entities should follow the accounting scenarios found on the **USSGL** website. The scenarios provide posting logic for accounting transactions of select events occurring throughout the federal government and are made available as a source of guidance.

4750.30a—Non-fiduciary Transactions

For non-fiduciary transactions, OMB requires reporting entities to reconcile and confirm intra-governmental activity as well as balances quarterly for the following reciprocal groupings:

- Services provided and reimbursables. Examples include, but are not limited to, legal, consulting, investigative, financial management, grants management, technology, reimbursables, and other similar services.
- Cost of products sold. Examples include, but are not limited to, supplies, manufactured items, inventory, office space, and equipment/vehicle rentals.
- Transfers, appropriations used, and collections for others, as well as unusual assets and liabilities related to appropriations. Examples include, but are not limited to, transfers between federal entities based on agreements or legislative authority, expended appropriations, taxes and fees collected, collections for others, receivables from appropriations, transfers payable, and custodial revenue.

The above listings of examples are not exhaustive; additional examples in each category may qualify as non-fiduciary transactions.

4750.30b—Related to Capitalized Purchases and Assisted Acquisitions

Federal entities that purchase capitalized assets, or previously capitalized assets/inventory from other federal entities must follow the Capital Asset scenario located in **Intra-governmental Capital Asset and Inventory Buy/Sell Transactions Guidance**.

Federal entities that participate in Assisted Acquisitions must follow the Assisted Acquisition scenario located in **Assisted Acquisition Guidance**.

4750.40—Intra-governmental Transactions Reconciliation and Resolution Process

Federal entities must use three-digit trading partner AID and a four-digit trading main account for all intra-governmental transactions. When federal entities report "appropriations transfers" within their departments, they must use their three-digit trading partner code. Federal entities should work with their federal trading partner to ensure the Trading Partner Agency Identifier and Trading Partner Main Account are valid as well as applicable to the activity being monitored.

4750.40a—Fiscal Service Intra-governmental Activity

Federal entities are expected to communicate and work with their respective trading partners before IGTs occur. Federal entities are expected to work with each trading partner before brokering intra-governmental activity to ensure strong controls are in place to effectively manage these transactions, which would lead to better reconciliation processes and fewer intra-governmental differences to reconcile and resolve. Federal entities are expected to minimize intra-governmental differences before they occur.

If after early and ongoing communication between trading partners, an intra-governmental difference exists, federal entities must reconcile and resolve these differences. Appendix 5 discusses the reconciliation and resolution process which includes the Intra-governmental Root Cause, Corrective Action Plan (CAP), and dispute resolution processes.

In preparation for the year-end submission, federal entities should validate and reconcile their data monthly to resolve intra-governmental differences in certain RCs, prior to their data submissions in GTAS.

An example of reconciling data includes the reconciliation of intra-governmental GTAS edits including:

- RC 07, Appropriation of Unavailable Trust or Special Fund Receipts (represented by GTAS Edit 33-UCAD Reciprocal Category 7 Transferred-In and Edit 34-UCAD Reciprocal Category 7 Transferred-Out),
- RC 08, Non-expenditure Transfers of Unexpended Appropriations and Financing Sources (represented by GTAS Edit 35-UCAD Reciprocal Category 8 Transferred-In and Edit 36-UCAD Reciprocal Category 8 Transferred-Out),

- RC 11, Non-expenditure Transfers of Financing Sources–Capital Transfers (represented by GTAS Edit 40-UCAD Reciprocal Category 11 Capital Transfers-In and Edit 41-UCAD Reciprocal Category 11 Capital Transfers-Out), Appropriations Received as Adjusted (represented by GTAS Edit 50-Normal Warrants Edit-Proprietary), and
- RC 40, Fund Balance with Treasury (represented by GTAS Edit 1-Fund Balance with Treasury).

Significant entities and selected other entities (as designated by "**" in Appendix 1a) are required to explain and certify all Material Differences Reports (MDR) Parts I, II, and III for Quarter 1, Quarter 2, Quarter 3, and Year-end. Federal entities will use the Intra-governmental Module in GTAS to view and explain as well as certify their Material Differences.

The Material Differences Window, which is used to explain and certify differences will open after the GTAS Bulk File Submission Window closes. These dates are set by Fiscal Service. The intra-governmental key dates as well as the GTAS reporting window schedule can be found on the **GTAS** website.

Federal entities must provide detailed explanations for MDRs Parts I, II, and III. Detailed explanations should include but are not limited to the following:

- The reason the difference exists,
- What is being done to reconcile the difference, and
- The expected completion date of eliminating the difference.

Federal entities may obtain the IGT Raw Data File from GTAS to be used for the research of differences. If a federal entity is not able to provide the detailed information listed above, Fiscal Service may follow up for a response. Fiscal Service will use its own discretion when analyzing explanations and follow up for clarification, if needed.

Federal entities will also be able to obtain the following quarterly reports from GTAS:

- MDR Part I (if applicable). This report displays differences equal to or greater than $100 million in all reciprocal categories (except RC 29, which is included in Part III). Federal entities will use subsection 4750.40b as guidance to select the explanation and the detailed information that must be provided.
- MDR Part II (if applicable). This report displays differences equal to or greater than $10 million and less than $100 million in all RCs (except RC 29) with the following Financial Report Entities that are encouraged to report for inclusion in the Financial Report:
    - 0000 (Congress: House and Senate),
    - 0100 (Architect of the Capitol),
    - 0200 (U.S. Capitol Police),
    - 0300 (Library of Congress),

    - 0800 (Congressional Budget Office),
    - 0900 (Other Legislative Branches),
    - 1000 (The Judiciary),
    - 2300 (U.S. Tax Court), and
    - 9999 (Unknown Trading Partners/Unidentified).

While a type of difference like those listed in subsection 4750.40b is not required for MDR Part II, a detailed explanation of the difference is expected. Federal entities must select “Part II Differences” as the type of difference when explaining these differences in the Intra-governmental Module of GTAS.

- MDR Part III. This report displays amounts reported in RC 29 with the federal/non-federal domain value of Z for non-reciprocating intra-governmental activity. While a type of difference, like the types listed in subsection 4750.40b, is not required for MDR Part III, federal entities must select “Part III Differences” as the type of the difference and must provide Fiscal Service with an explanation of why this non-reciprocating intra-governmental activity is reported. An explanation of “non-reciprocating activity” is not considered acceptable. Federal entities must provide Fiscal Service with the specific type of activity being captured in each USSGL. Fiscal Service may follow up for clarification to ensure the non-reciprocating intra-governmental activity reported is used for the appropriate purpose.
- Comparative Status of Disposition Report. This is available after all of Part I Material Differences are certified and the Material Differences Window is closed. It contains comparative MDR Part I reporting between the federal entity and its trading partners by RC. CFOs use this report to address and resolve inconsistencies in amounts and explanations between the federal entity and its trading partners.

With federal entities explaining and certifying material differences, the assurance for Fiscal Service that entities comply during the IGT reconciliation and resolution process is established using three functions:

- Obtaining sufficient explanations and corrective actions, as applicable, to resolve the out-of-balance condition,
- Obtaining assurance that federal entities are performing quarterly intra-governmental reconciliations and resolutions in accordance with OMB Circular No. A-136, revised, and Appendix 5, and
- Ensuring federal entities are mutually completing the Intra-governmental Material Differences/Status of Disposition Certification Report for the same trading partner/RC material difference instances.

Note: Recurring differences should be limited to those situations that have been confirmed by the Fiscal Service.

4750.40b—Reporting Entity's Explanation of Reporting in Material Differences Reports Part I

An explanation for Material Difference Part I reporting should be based on each identified difference in terms of the following categories:

(1) **Accounting/Reporting Error**—This intra-governmental difference occurs when the reporting entity has incorrectly reported activity either by RC, trading partner, or amount. The total of these amounts must be identified and explained. If the entity is in error, then provide the adjustment amount as well as the corrective action (journal entry, etc.), and when the error will be corrected.

(2) **Communication/Current-year Timing Difference**—This intra-governmental difference occurs when the reporting entity has not effectively reported to its trading partner or when the reporting entity has reported activity in a different quarter than the trading partner reported the activity in the current-year. The total of these amounts must be identified. Also, explain what adjustment should be made.

(3) **Prior-Year Timing Difference**—This intra-governmental difference occurs when a reporting entity has reported activity in a prior FY and the trading partner reported the activity in the current FY. The total of these amounts must be identified. Also, explain whether an adjustment should be made.

(4) **Accounting Methodology Difference**—This intra-governmental difference occurs when the reporting entity uses a different accounting method than their trading partner to account for activity. The method of accounting must be identified and explained as well as an attempt made to provide the dollar amount of the difference caused by the differing methodologies.

(5) **Entity Verified**—This intra-governmental difference category is intended to indicate that a federal entity has verified its reported amounts and that the entity's documents are in agreement with its quarterly source documentation; and the federal entity has confirmed that the policy and guidance related to transactions and balances have been followed. It also indicates the federal entity has reconciled this amount with its trading partner and knows why the difference, if any, exists. Selecting "Entity Verified" indicates that the trading partner accepts the onus for adjusting its amount to clear any difference going forward. Both federal entities cannot have "Entity Verified" where a difference exists. Federal Entities should provide amounts and a detailed explanation to support the selection of "Entity Verified." These balances will be reviewed by Fiscal Service with the other entity.

(6) **Judicial/Legislative**—These intra-governmental differences occur because the Judicial and Legislative federal entities are not required to report. Federal entities included are: 0000 – Congress; 0100 – Architect of the Capitol; 0200 – U.S. Capitol Police; 0300 – Library of Congress; 0800 – Congressional Budget Office; 0900 – Other Legislative Federal entities ; 0902 - Comm. on Security & Cooperation – Europe; 0904 – John C. Stennis Center; 0905 – U.S. Capital Preservation Commission; 0907 – Office of Compliance; 0908 – Open World Leadership Center Funds; 0912 – Senate Preservation Fund; 0915 - Medicaid and CHIP Payment and Access Commission; 1000 – The Judiciary; 2300 – U.S. Tax Court.

(7) **Entity System Issues**—These intra-governmental differences occur because one or both federal entities state that they have some sort of system issue that prevents them from reporting correctly.

(8) **FICA-Federal Employers Share**—These intra-governmental differences occur because there is no reciprocating activity for employers share of Federal Insurance Contributions Act (FICA) to be reported by a trading partner.

(9) **Shared TAS**—These intra-governmental differences occur due to a shared TAS, which cannot be reported by both federal entities in GTAS.

(10) **Other**—This intra-governmental difference category occurs when none of the other intra-governmental difference categories apply. Entities must describe the situation that has led to the intra-governmental difference.

4750.40c—Intra-governmental Transactions Metrics and Scorecards

Fiscal Service has implemented scorecards and metrics to track reporting differences government-wide by federal entity. Scorecards will be updated quarterly and disseminated to significant entities and other entities as determined by Fiscal Service. The purpose of the metrics is to monitor progress on resolving or explaining material intra-governmental differences. Refer to Appendix 5, subsection 2.4, for further information on the timeline for these scorecards and metrics as well as related federal entity requirements.

4750.50—Year-end Intra-governmental Reconciliation Process Related to GTAS

In accordance with OMB Circular No. A-136, significant entities and other entities should reconcile their intra-governmental balances with their trading partners and resolve all resulting differences prior to submitting their final GTAS ATB. Note that at year-end, federal entities should leverage the pre-year-end report that is provided prior to the close of GTAS reporting window, and tools within GTAS (such as the Intra-governmental module and Raw Data File), to determine what outstanding IGT differences exist. Since IGT differences should be resolved prior to the close of the GTAS Reporting Window, it is imperative that entities work directly with

their trading partners to reconcile intra-governmental balances and resolve resulting differences. Additionally, significant entities and their auditors should review the prior year-end scorecard to determine if a prior-year journal voucher was processed. If so, then the significant entity should identify the reason for the journal voucher as well as how to prevent the adjustment in the current year.

Reconciling data (reported as Business Event Type Code (BETC) in CARS against Entity Reported ATB Data (reported in GTAS) can be done two ways. They are listed below.

- In GTAS, navigate to the *MY ATB STATUS* module and click on the *Failed Edits* Tab, click on *View Details*. This view defaults to *Failed Fatal Edits* (for example, Edit 1). Click on *Proposed Analytical* to review any Failed Proposed Analytical Edits.
- Navigate to *Run Reports Module*, select *Validations/Edits for Report Type*, select either *Failed Edits Detail* or *Failed Edits Summary* (depending on needs), select the applicable reporting period information, run the report by *Either User ID* or *Specified TAS*, scroll down past *Fatal Edits* to find *Proposed Analytical Edit Failures*.

If no Failed Edits or Proposed Analytical Edits appear after GTAS ATB upload, then the data and ATB Data are reconciled, and no further action is necessary.

4750.60—Year-end CFO Procedures for Intra-governmental Transactions/Balances

Significant entities must comply with the following instructions using the audited consolidated entity financial statements:

- Provide responses to the representations outlined in the detailed “CFO Representation” instructions found in Appendix 4 for each intra-governmental issue, and
- Ensure the data in the *Intra-governmental Year-end Material Differences Reports* are consistent with the information reported in the federal program entity’s financial statements.

Fiscal Service provides the **CFO Representations Form for Intra-governmental Activity and Balances** (including instructions) on the GTAS website.

Provide an electronic file of the CFO’s Representations for Intra-governmental Transactions and Balances along with any supporting documentation to the federal entity's IG, Fiscal Service, and GAO (see the FY 2024 TFM Year-end Closing Bulletin for due dates).

Section 4755—GTAS Requirements

GTAS requires reporting proprietary and budgetary USSGL account balances. Details can be found by visiting the **GTAS** website.

4755.10—GTAS System Access

To obtain system access, users may contact the **GTAS Treasury Support Center**.

4755.20—GTAS Reportable Data

The Financial Report includes the data from the GTAS submissions for all federal entities into a set of reclassified financial statements. All federal entities must submit all changes to the reclassified financial statements through GTAS. Note the preference is to submit the changes through a resubmission of the ATB. If this is not possible, then adjustments should be submitted through the GTAS manual adjustment process. The GTAS data must reconcile to the federal entity's audited financial statements.

4755.30—GTAS Super Master Account File

The **Super Master Account File** (SMAF) contains the valid TAS balances and attributes for budgetary as well as proprietary ATB submission.

Fiscal Service will be collaborating with entities to confirm attributes on the SMAF through the SMAF Attribute confirmation process. Details can be found by visiting the **GTAS** website.

4755.40—Adjusted Trial Balance

Federal entities must prepare and submit pre-closing GTAS ATB at the TAS level using USSGL accounts and attributes. Non-executive federal entities that have not adopted the USSGL must crosswalk their general ledger accounts to the USSGL accounts before transmission.

The GTAS ATB must include accounts with the required attributes, and USSGL account balances must reflect the pre-closing adjusting entries needed to produce financial statements. The total sum of debit balances must equal the total sum of credit balances in the GTAS ATB. Report amounts in dollars and cents.

Significant entities and other entities must use the same USSGL data on the GTAS ATB that they use to prepare the current FY audited federal entity consolidated financial statements due to OMB. For detail on the specific requirements for the submission, please refer to the **GTAS** website.

4755.50—General Fund Receipt Accounts

Federal entities that classify amounts on their CTA report in General Fund Receipt Accounts symbols using their three-digit agency trading partner AID also must submit a GTAS ATB, and must prepare federal entity financial statements that include the General Fund receipt activity.

4755.60—Department of the Treasury Managed Trust Fund Accounts

Fiscal Service's Funds Management Branch provides the lead program entity a monthly GTAS ATB, or equivalent, for the Department of the Treasury's managed trust fund activity located at Fiscal Service for each of the Department of the Treasury's managed trust funds listed in Figure 1. The monthly GTAS ATB prepared by Fiscal Service contains collection and disbursement

transactions that are recorded in the Department of the Treasury managed trust funds as well as investment activity and balances. The monthly GTAS ATB will be provided to the lead program entities no later than the fifth workday after the end of the applicable month. The program entities are responsible for recording appropriated amounts from the trust funds and reporting the final Department of the Treasury's managed trust fund ATB in GTAS.

Fiscal Service uses USSGL accounts from the USSGL TFM Supplement for current year reporting, with the proper attributes. The lead program entities identified in Figure 1 must include the Department of the Treasury managed trust fund ATB data in their GTAS Submission. Please email the Funds Management Branch with questions regarding the Department of the Treasury's managed trust fund accounts to **UTF@fiscal.treasury.gov**.

4755.70—GTAS ATB Reports Transmission Methods

Each GTAS ATB preparer must submit the ATB data using the bulk file transfer method in GTAS. Federal entities must submit GTAS ATB for each active TAS (these include the TAS with no transactional activity but are active for CARS, see the **Frequently Asked Questions** for details). By certifying the GTAS ATB data, an entity is verifying the TAS is valid and its USSGL balances are accurate. **For specific detail on GTAS ATB submissions, please refer to the GTAS website.**

4755.80—Proprietary Balances in Canceled Accounts

GTAS will establish a default TAS ("C" domain value for availability type). The system-generated "C" TAS will have three components: the three-digit AID, availability type "C," and a four-digit main account. The GTAS system will provide a "C" TAS on the GTAS Super Master Accounts File for each fund family represented on the SMAF. Federal entities may choose one or more "C" TAS on the SMAF to report assets.

If a federal entity is using a default fund symbol of its own creation, they must use the new "C" account in its place. However, if federal entities are using a current-year fund symbol, an "X" fund, or some variation of an active account, they may continue. Federal entities may also decide on their own when to move these assets from the original purchasing fund but must be accomplished no later than the federal entity's final GTAS submission for period 12 of the fifth FY after the period of availability has expired.

Please see the FY 2025 TFM Year-end Closing Bulletin for a complete listing of FY 2025 reporting and submission dates.

Intra-governmental Key Dates may be found on the GTAS website.

GTAS Deadlines may be found on the GTAS website.

Figure 1: Department of the Treasury Managed Trust Funds

Department of the Treasury Managed Trust Fund	Federal Entity/Department
Federal Supplementary Medical Insurance	HHS
Federal Hospital Insurance	HHS
Vaccine Injury Compensation	HHS
Federal Old-Age and Survivors Insurance	SSA
Federal Disability Insurance	SSA
Airport and Airway	Department of Transportation (DOT)
Sports Fish Restoration and Boating	Department of the Interior
Oil Spill Liability	DHS
Highway	DOT
Black Lung Disability	DOL
Unemployment	DOL
Hazardous Substance Superfund	Environmental Protection Agency (EPA)
Leaking Underground Storage Tank	EPA
Inland Waterways	U.S. Army Corps of Engineers
Harbor Maintenance	U.S. Army Corps of Engineers
South Dakota Wildlife Restoration	U.S. Army Corps of Engineers
Patient-Centered Outcomes Research	Independent Agency
U.S. Victims of State Sponsored Terrorism Fund	DOJ

Contact Information

Detailed Contacts

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Appendices

Appendices Listing

Appendix No.	Title
1a	Federal Trading Partner Codes for the Governmentwide Treasury Account Symbol Adjusted Trial Balance System (GTAS)
1b	Determination of a Consolidation Entity, a Disclosure Entity, or a Related Party for the Governmentwide Treasury Account Symbol Adjusted Trial Balance System (GTAS)

1c	Entity Organizational Structures of 13 Entities with Sub-Component Financial Statements
2	Reciprocal Categories Crosswalk to Financial Statements
3	Intra-governmental Transactions (IGT) Categories of Reciprocal U.S. Standard General Ledger (USSGL) Proprietary Accounts
4	CFO Representations for Intra-governmental Activity and Balances Instructions
5	Overall Intra-governmental Transactions (IGT) Processes and General Information
6	Intra-governmental Transactions (IGT) Investments and Borrowings
7	Intra-governmental Transactions (IGT) Benefits
8	Intra-governmental Transactions (IGT) Buy/Sell
9	Intra-governmental Transactions (IGT) Transfers
10	Intra-governmental Transactions (IGT) Custodial & Non-Entity Transactions
11	Recording Intra-governmental Transactions with the General Fund of the U.S. Government
12	Reference Guide of Annual Deliverables for Federal Entities

Summary of Changes

Summary of Changes

SUMMARY OF CHANGES

Summary of Changes – Interim Update August 2025

Section No.	Section Title	Summary of Change
4730.10a	Interim Financial Statements and Notes	Removed requirement to produce comparative interim financial statements and notes.

4730.10b	Significant Disclosure of Key Focus Areas	Removed listing of FY 2025 key focus areas, which are now published in Bulletin No. 2025-07, *2025 Year-end Closing*.
4730.20a	Year-End Financial Statements and Notes	Removed requirement to prepare and submit an annual variance analysis.
4735	Financial Report Data Requirements	Removed annual variance analysis from list of significant entity submissions.
Appendices	Appendix 1a - Federal Trading Partner Codes for the Governmentwide Treasury Account Symbol Adjusted Trial Balance System (GTAS)	Removed Smithsonian Institution and Millennium Challenge Corporation from list of Significant Entities.
Appendices	Appendix 12 - Reference Guide of Annual Deliverables for Federal Entities	Removed Variance Analysis requirement for significant entities in Year-end section and Renumbered Subject matter TFM section references in Additional Areas of Interest section.